هيئة الزكاة والضريبة والجمارك
Zakat, Tax and Customs Authority

IMPLEMENTING REGULATIONS FOR ZAKAT COLLECTION

1445 H - (2024)

Issued by His Excellency the Minister of Finance's Decision

No. (1007) and dated 19/08/1445 H

And amended by His Excellency the Minister of Finance's Decision

No. (1248) and dated 11/10/1446 H

Chapter (1): General Provisions

Section (1): Definitions

Article (1): Definitions

1. Unless the context otherwise requires, the following words and phrases -wherever stated herein- shall have the meaning ascribed thereto below:

   "Authority"/ "ZATCA": The Zakat, Tax and Customs Authority

   "Regulations": The Implementing Regulations for Zakat Collection

   "Kingdom": The territory of the Kingdom of Saudi Arabia, including the lands, territorial waters, the sea bottom, underground natural resources, and the airspace, divided territories with neighboring states over which it has sovereignty rights, and marine and semi-marine areas outside its territorial waters over which the Kingdom has sovereignty rights, pursuant to its laws and the international laws.

   "Internal Committee": ZATCA's internal committee which handles the settlement of disputes arising between ZATCA and Zakat payers regarding ZATCA decisions.

   "Departments for Dispute Resolution": Departments of the Committee for Resolution of Zakat, Tax, and Customs Violations and Disputes.

   "Appellate Departments": Departments of the Appellate Committee for Zakat, Tax, and Customs Violations and Disputes".

   "Activity": Any act performed for the purpose of continuously and regularly generating profit under a license issued by the relevant entities, or which requires a license by the relevant entity prior to its performance, as per the relevant laws and regulations applicable in the Kingdom; whether commercial, vocational, service, industrial, or other activity.

"Person": Any natural or legal person.

"Saudi": A person holding the Saudi nationality and nationals of a member state of the Gulf Cooperation Council of the Arab States of the Gulf (GCC) who are accorded similar treatment as Saudi nationals.

"Resident": A natural or legal person meeting residency requirements stated in Article (4) of the Regulations during the Zakat Year.

"Zakat Payer": A person who is subject to the provisions of the Regulations and practices an activity, or who issued a license to conduct said activity.

"Zakat Payer Holding Statuary Accounts": Any Zakat Payer having who maintains or is obligated to issue accounting books and records financial statements reflecting the reality of its activity, and not obliged to issue financial statements, in accordance within to the relevant laws and regulations applicable in the Kingdom.

"Zakat Payer Assessed On Arbitrary Basis/ ZP-AA": Any Zakat Payer not maintaining or not obligated to issue financial statements reflecting the reality of its activity, in accordance with the relevant laws and regulations applicable in the Kingdom.

"Zakat Payer of Insurance Activities": Any Zakat Payer in the form of insurance and reinsurance companies, licensed by the entity authorized to issue insurance activity licenses within the Kingdom, during the Zakat Year.

"Zakat Payer of Financing Activities": Any Zakat Payer in the form of banks, and financing and refinancing companies, licensed by the Saudi Central Bank (SAMA); and finance funds licensed by the Capital Market Authority, during the Zakat Year.

"Zakat Collection": Calculation and collection of Zakat from the Zakat Payer in accordance with the provisions of the Regulations, for the purpose of payment thereof the entity responsible for Zakat distribution.

“Person Subject to Zakat”: Zakat Payer who shall pay Zakat to ZATCA under the provisions of the Regulations.

“Person Non-subject to Zakat”: Zakat Payer who shall not pay Zakat to ZATCA, under the provisions of Chapter (1), (3) (2) of the Regulations.

“Zakat Year”: A Zakat Payer’s fiscal year irrespective of Hijri or Gregorian Calendars, short or long, or at the commencement or closing of business dates.

“Zakat Base”: The fund subject to Zakat under the Regulations.

“Sources of Funds”: Equity and obligations stipulated in the Regulations.

“Non-settled assets": Assets remaining form the total assets of Zakat Payer after deducting the settled assets from the Zakat Base, as provided in Article (26).

“Zakat Return”: A statement provided by the Zakat Payer in a form approved by ZATCA, showing fiscal items of the Zakat account and Zakat due in accordance with the provision of the Regulations.

“Information Return”: A statement provided by the Zakat Payer in a form approved by ZATCA, showing fiscal items of the Zakat Base for disclosure in accordance with the provisions of the Regulations.

“Zakat Assessment”: A decision issued by ZATCA approving or amending a Zakat Return, or identifying the Zakat amount payable by ZP-AA, or the Zakat Payer holding accounts, in accordance with the information available and practices adopted by ZATCA.

“Zakat Assessment On An Arbitrary Basis”: Calculation of Zakat Payer assessed, in accordance with the provisions of Article (89) of the Regulations.

"Zakat Assumption": ZATCA's determination of a Zakat base or some of its items for a Zakat Payer, in accordance with Articles (114) and (115) of the Regulations.

"Zakat Evasion": Any act or abstention of the performance of an act intended by the Zakat Payer to non-compliance with its Zakat obligation, and which may result in, including but not limited to, the submission of a Return that contradicts its actual activity, the submission of false information, or the concealment of true information.

"Debt Instruments": Current or non-current instruments used in providing funds, under which its issuer becomes subject to debt, and which are tradable, such as Deeds and Bonds.

"Fund": An investment or real estate investment fund established in the Kingdom, the units thereof may be offered by the Fund Manager for investors in the Kingdom, in accordance with the relevant laws and regulations applicable in the Kingdom.

"Finance Fund": An investment fund established for the purpose of practicing direct or indirect funding activity, in accordance with the relevant laws and regulations applicable in the Kingdom.

"Unitholder": Zakat Payer who owns a unit in the Fund, which represents a common share in the Fund's net assets.

"Fund Manager": The capital market company in the form of person(s) that manages the assets of the investment or real estate investment fund, and its activities and offers its units, in accordance with the relevant laws and regulations applicable in the Kingdom.

"Related Persons": As defined in the Transfer Pricing Bylaws, issued by ZATCA Board Resolution No. (6-1-19) dated 25/05/1440 H. (January 31, 2019), as amended; including natural and legal persons that have effective control over the Zakat Payer, who are effectively controlled by the zakat payer, or who are effectively controlled by the same person controlling the Zakat Payer.

“Transfers Between Related Persons”: Any transfers conducted between any persons related to the Zakat Payer, including illustrious and nominal transactions, and the transfer of any assets of value between said parties, to the extent that said transfers have a legal impact.

2. Any term for which a definition was not provided in the Regulations shall have the definition provided thereto in other laws applicable in the Kingdom, or in the Accounting Standards Endorsed by the Saudi Organization for Chartered and Professional Accountants, unless otherwise stipulated in the Regulations.

Section (2): Objectives of the Regulations

Article (2): Regulations Objectives

The present Regulations aim to illustrate the provisions of Zakat collection in the Kingdom, and clarify the rights and obligations of the Zakat Payer and ZATCA in this regard, in application of the Islamic ritual and to raise the levels of adherence thereto.

Section (3): Zakat Payers:

Sub-section (1): Zakat payers subject to the Regulations

Article (3): Zakat Payers subject to the Regulations

The following persons are subject to the provisions of these Regulations:

1. Resident Saudi person, who practices an Activity under a license within the Kingdom.
2. Sole Corporation owned by a Saudi person and established in the Kingdom, in accordance with the relevant laws and regulations applicable in the Kingdom.
3. Company owned by a Saudi person and established in the Kingdom, in accordance with the relevant laws and regulations applicable in the Kingdom; the share held by a Saudi partner/ shareholder in resident companies, and the shares held by Saudi government agencies and authorities as well as their equivalents.
4. Finance Funds licensed by the Capital Market Authority.
5. State-owned Resident Companies and Public Investment Fund-owned Resident companies as per the rules stipulated in the relevant Royal Orders and Ministerial Resolutions.
6. Shares held by non-Saudi shareholders in Resident companies listed in the Saudi Stock Exchange - except for the shares held by non-Saudi founders, as per the company's articles of association or other relevant statutory documents.

Article (4): Controls of Residency:

1. A natural person is deemed a Resident of the Kingdom during the Zakat Year if any of the following conditions are met:

    a) Such person has a permanent residence in the Kingdom and is physically present in the Kingdom for no less than 30 days, whether consecutive or aggregated, during the Zakat Year.

    b) Such person does not have a permanent residence in the Kingdom and is physically present in the Kingdom for no less than 183 days, whether consecutive or aggregated, during the Zakat Year.

    For the purpose of this Paragraph, presence in the Kingdom for a part of the day shall be deemed as presence for a full day. However, a person may not be considered physically present for a full day in the Kingdom during transit in the Kingdom for a day or a part thereof between two destinations outside the Kingdom.

2. A legal person is deemed a Resident of the Kingdom during the Zakat Year if any of the following conditions are met:

    a) Said Person is incorporated under the applicable laws of the Kingdom.

    b) Its principal headquarters is in the Kingdom

Article (5): Controls Of The Principal Headquarters

1. A location shall be deemed a principal headquarters in the Kingdom if at least two of the following conditions are met:

   a) The usual meeting of the Board of Directors is regularly held in the Kingdom, in any means; and during which the main policies and decisions related to the management of the establishment and the facilitation of its business are made.

   b) The senior executive decisions related to the management of the establishment's functions are made inside the Kingdom, including: Decision made by the CEO and its deputies.

   c) The establishment's businesses that generate the majority of its revenues are inside the Kingdom.

2. If the provisions of Paragraph (1) of this Article apply to a legal person, said person shall pay Zakat for its Activity and the Activity of its branches inside and outside the Kingdom, and shall be subject to all Zakat provisions stipulated in the Regulations. Additionally, said legal person shall disclose its annual Returns regarding the income realized due to the processes thereof and the processes of its branches inside and outside the Kingdom.

Sub-section (2): Persons not subject and exempted from to the provisions of the Regulations

Article (6): Persons Not Subject To The Regulations

The following persons are not subject to the provisions of these Regulations:

1. Persons subject to the Income Tax Law and the shares of the legal persons, which are subject to income tax.
2. Resident Capital Companies with respect to the shares directly or indirectly owned by persons engaged in the production of oil and hydrocarbons, whether natural or legal, resident or non-resident, except for the shares directly or indirectly owned by persons engaged in the production of oil and hydrocarbons in the capital companies listed in the Saudi Exchange, with the shares thereof directly or indirectly owned by the capital companies.

Article (7): Persons Exempted from Zakat Collection

Zakat Payers stipulated herein and who carry out public benefit activities shall be exempted from Zakat collection by submitting an annual request to ZATCA within (120) days from the end of the Zakat Year, according to the following terms and conditions:

1. Charitable associations, non-Government organizations, and training units; and their fully-owned establishments, if the following conditions are met:
   a) Their returns are disbursed to public charity purposes or to society not a specific person. Non-Government Organizations are excluded from this Paragraph if less than (10%) of the organization's net profit is distributed to a specific person, taking into consideration the following:
      1. Disbursement to a specific person shall be identified in the association's objectives, article or deed of association.
      2. Disbursement to a specific person shall include all disbursements that are not described as public charity purposes or the society.

3. The organization's revenues shall include all returns and gains form the assets, as well as the income and profit of investments, donations, endowments, etc.

4. The percentage of the disbursement to a specific person, if more than an association owns a Zakat Payer, shall be in proportion with these associations.

5. Identification of the percentage of a disbursement to a specific person shall be through the audited financial statement of the association or the report of a licensed charted accountant in the Kingdom.

b) Licensed by the competent authority in the Kingdom and legally documented.

c) Ownership of financial statements are audited by a charted accountant licensed in the Kingdom, or any other documents acceptable by ZATCA.

d) The training unit shall have a final license (Non-profit training organization).

2. Awqaf, companies and foundations owned by Awqaf provided that the Waqf (endowment) document states that all Waqf disbursements are for general charity and not disbursement to a specific person or if there is a disbursement to a specific person stipulated, it should not exceed (10%) of the total revenues, while considering the following:

a) Disbursement to a specific person includes all matters disbursed to the endower, their descendants, any certain person; a person does not belong to public charity categories of entities related to Waqf (endowment).

b) Waqf (endowment) yield includes all Waqf (endowment) annual revenues including assets revenues, income and profits of investments, companies, donations -etc.

c) In the event that more than one Waqf (endowment) own the Zakat Payer, calculating the percentage of disbursement to a specific person shall proportionately between these Waqf (endowments).

d) The evidence in determining the percentage of disbursement on a specific person in the event the endowment document mentioned the disbursement to a specific person shall be through the audited financial statements of the endowment or a report from a licensed charted accountant in the Kingdom.

3. Non-profit organizations and the companies fully owned thereto established in accordance with the provisions of the Companies Law and Implementing Regulations thereof as amended, along with taking the following into account:
   a) Disbursements of the non-profit organization and its fields - stipulated in its Bylaws and Article of Association- shall only include disbursements and fields of the public non-profit companies.
   b) Disbursements to specific persons must not exceed (10%) of the company's revenues, including the benefits of company owners or Board members, or their bonuses and/or salaries, for the services and works provided thereby to the company.
   c) The evidence determining all company's disbursements - including Sub-paragraph (B) herein shall be through the audited financial statements of the company, a report from a licensed charted accountant in the Kingdom, or any other documents accepted by ZATCA.
4. The person on which a decision by ZATCA is issued stipulating its exemption from Zakat collection.

Article (8): Revocation of the Decision of Not-subjection to Zakat Collection

ZATCA may cancel a decision on exempting a Zakat Payer if the Zakat Payer provides incorrect information or fails to comply with the provisions for exemption from Zakat. In addition, a re-assessment is conducted in accordance with the information available to ZATCA, and the Zakat Payer will be notified of the reasons for cancelling the decision.

Chapter (2) Zakat Calculation Rules

Section (1): Zakat Calculation Mechanism

Article (9): Approved Financial Reports

For the purposes of Zakat collection, the standards endorsed by the Saudi Organization for Chartered Accountants shall apply regarding the terms, accounting treatments, and financial reports submitted to ZATCA, unless otherwise stipulated in the Regulations, or relevant laws, regulations, and rules. ZATCA may amend the data of Zakat Payers in the event that said data contradict the accounting standards endorsed by the Saudi Organization for Chartered Accountants regarding the classification and indexing.

Article (10): Commencement of Zakat Collection from the Zakat payer

1. The first Zakat Year of the Zakat Payer shall commence in accordance with the first date of any of the following:
   a) The date of issuing the establishment's commercial register.
   b) The date of acquiring the first of the licenses necessary to practice the Activity in accordance with the relevant laws applicable in the Kingdom.
   c) The date of depositing the capital in accordance with the relevant laws.
2. A Zakat Payer may determine another date for the commencement of his activity by submitting documented proofs acceptable by ZATCA.

Article (11): Zakat Payer Cessation of Practice of the Activity

1. Zakat collection shall cease if the Zakat Payer permanently ceases the practice of the activity, provided that a written application is submitted to ZATCA within (60) days from the date of cessation, otherwise Zakat accounting shall be maintained until the date of submission of the application.

2. If the Zakat Payer temporarily ceases the activity, the collection of Zakat shall not be ceased.
3. If the Zakat Payer ceases some of its activities and maintains in the rest of the same, the Zakat collection shall be maintained regarding other ongoing activities.
4. ZATCA shall set another date for the cessation of the activity of the Zakat Payer if a proof thereof is provided.

Article 12: Zakat Payer Cessation of the Activity for Liquidation

The Zakat Payer shall be deemed to have ceased the activity for liquidation purposes as soon as liquidation procedures are initiated. The liquidator, bankruptcy trustee or bankruptcy committee shall, in accordance with the relevant laws, notify ZATCA in writing of the commencement of liquidation procedures, and, in cases of other non-bankruptcy, the Zakat Payer shall file and pay the due Zakat Returns and submit the financial statements on regular dates until completing the process.

Article (13): Change of Owners and Legal Form

1. The Zakat Payer shall be held accountable for the entire year of Zakat, in which one of its owners died, or has assigned his share to others, whether heirs or others, if the Zakat Payer maintains in his activity.
2. If the ownership of the sole proprietorship is transferred to other owner, by sale or assignment or equivalent, at the end of the year, the Zakat is calculated for the entire year regardless of the duration of each owner's ownership.
3. The Zakat Payer compliance with the provisions of the Regulations shall not be affected in the event of its transformation from a legal form to another.
4. The Zakat Payer shall be held accountable according to its owners and the property shares at the end of the Zakat year regardless of the percentage variation during the year.

Article (14): Merger between Zakat Payers

1. If the merger between two Zakat Payers or more results in the creation of a new entity, the new Zakat Payer shall be Subjected to pay Zakat at the end of its Zakat year provided in the Memorandum or Article of Association or any statutory documents accepted by ZATCA. The Zakat calculation of the new Zakat payer shall be made according to the following cases:
   a) If the Zakat Payer is held accountable according to one Hijri year, he shall be held accountable for a full Hijri year if his fiscal year is short and shall be held accountable for two Hijri years if his fiscal year is long, Article (15)paragraph(4) shall not apply in this case.
   b) If the Zakat Payer is held accountable according to a Gregorian year, he shall be held accountable for a full Gregorian year if his financial year is short and shall be held accountable for two Gregorian years if his fiscal year is long, Article (15) paragraph (4) shall not be applied to this case.
2. If the merger results in the ownership of another Zakat Payer, the owning Zakat Payer shall be held accountable according to his fiscal year, the Zakat Year of the Zakat Payer shall commence from the date of the last Return filed to ZATCA.

Article (15): Percentage of Zakat

1. Zakat shall be levied at (2.5%) of Zakat Base for Hijri year.
2. If the Zakat Payer's fiscal year differs from the Hijri year, Zakat shall be calculated on the actual number of days by dividing the percentage of Zakat over the number of days of Hijri year multiplied by the actual number of days of Zakat Payer's Zakat Year as per the following equation:

   Percentage of Zakat = (2.5% ÷ number of days of the Hijri year) x number of days of the fiscal year of the Zakat Payer

3. The fiscal period less than (354) days as of the activity commencement shall be subject to Zakat collection.
4. The fiscal period less than (354) days as of the activity conclusion shall not be subject to the Zakat collection.

Article (16): Accounts and Consolidated Zakat Returns

1. A company owned by the same partners, the holding company and the fully owned subsidiaries both inside and outside the Kingdom, whether directly or indirectly owned, may submit consolidated accounts and a consolidated Zakat Return.
2. For purposes of this article, the direct ownership means that subsidiaries that are fully owned by holding company. Indirect ownership means that subsidiaries are owned by holding company at a certain percentage with the remaining percentages fully owned by any other subsidiaries fully owned by the holding company.
3. Except for subsidiaries that are fully owned by the holding company, Zakat shall be calculated for the holding company and its subsidiaries thereof in a separate manner whatever the ownership ratio of the holding company is, taking into account the treatment of debts and investments between them according to section (2 and 4) of Chapter (5) of the Regulations. The holding company and each of its subsidiaries shall submit its separate Zakat Returns, in accordance with the procedures of ZATCA.
4. In the event that the Zakat Payer submits a consolidated Zakat Return for the holding company and subsidiaries, the Zakat Payer may refrain from such procedure only after obtaining the approval of ZATCA.
5. The subsidiary shall separately submit the information Returns, if they are included in the consolidated Zakat Return with its wholly owned holding company.
6. Upon the Payer of the financing activities is owned by a Payer who is not a Payer of the financing activities, and submits a consolidated Zakat Return, the Payer of the financing activities shall not be held accountable according to sub-section (1) of section (7) of chapter (2).

Section (2): Calculation of the Zakat Base for Zakat Payer Holding Legal Accounts

Article (17): Reliance on the Values Shown In The Financial Statement

Zakat Payer holding legal accounts shall approve additionality and deduction items in the Zakat Base to the value shown in the list of financial position at the end of the Zakat Year of the Zakat Payer.

Article (18): Fair Value

For purposes of Zakat collection, the results of the re-assessment according to the fair value shown in the Zakat end-of-year financial statements shall be the value considered in the Zakat account.

Article (19): Treatment of Companies with Liquidity Based Financial Statements

For purposes of Zakat collection, the trader provided herein shall mean companies of liquidity classified financial statements as any anticipated asset or obligation realized, recovered or settled within (365) days as a maximum after the end of the Zakat Year, including but not limited to: Cash and cash equivalence, inventory, commercial receivables, or any asset owned by the Zakat Payer for the purpose of trading.

Article (20): Assets and Liabilities Equality

For purposes of the Zakat collection, non-current liabilities shall be equal to non-current assets; regardless which one is preceding, current liabilities shall be equal to current assets; regardless which one is preceding. Moreover, the property rights shall complete the shortage of sources of financing of current or non-current assets.

Article (21): Calculation of the Zakat Base

Pursuant to the provisions of Articles (27) & (28) of the Regulations, the Zakat Payer holding legal accounts shall calculate the Zakat base by adding the additionality contained in Article (23) including the deduction items contained in Article (26), in accordance with the provisions of the Regulations.

Article (22): Application of Transaction Pricing Instructions

The instructions for transfer pricing issued by ZATCA's Board of Directors Decision No. (19-1-6) dated 25/5/1440 H (January 31,2019), and any amendments thereto, shall apply to the current transactions with the entities associated with the Zakat Payer.

Section (3): Added Items to the Zakat Base

Article (23): Added Items

Pursuant to the provisions hereof, Added Items to the Zakat Base of the Zakat Payer holding legal accounts shall include the following:

1. Property Rights and Equivalents.
2. Property rights obligations contained in Article (29) within the limits of the assets deducted.
3. The difference between the amended net profit/loss and net profit/book loss - after Zakat and tax - whether its related result is positive or negative, in accordance with the treatment of the result of the activity provided in section 6 herein.

Article (24): Allocations

For purposes of the Zakat collection, allocations and their equivalents shall be treated as property rights, accordingly, they shall be added to the end of term balance, excluding the end-of-service benefit amount, the regular vacation provision and so forth shall be treated as non-current liabilities.

Article (25): Placement of Liabilities Added To The Zakat Base.

1. Placement of external liabilities added to the Zakat Base shall mean; correction of additions of liabilities to the Zakat Base upon a current asset is deducted and a non-current asset is not deducted.

2. Upon a non-current asset is not deducted, the ratio of this asset to the total value of non-current assets shall be considered. This ratio of non-current liabilities shall be excluded from being added to the Zakat base and shall be identified according to the following equation:

   Non-current liabilities excluded from being added to the Zakat Base = (non-current asset excluded ÷ total non-current assets) × non-current liabilities.

   Provided that the non-current liability excluded from the base shall not exceed the value of the unresolved non-current asset.

3. Upon deduction of a current asset, the ratio of this asset to the total value of the current assets shall be considered. This proportion of the total current liability shall be added to the Zakat Base, in accordance with the following equation:

   Current liabilities added to the Zakat Base = (current asset deducted ÷ total current assets) × current liabilities.

   Provided that the added current liabilities do not exceed the value of the deducted current asset.

4. Upon applications the clauses contained in (2) and (3) contained herein, the total added liabilities shall not exceed the total deductible of the base, in accordance with the provisions of addition contained in Article (23) and the provisions of Minimum of the Zakat Base in Article (27).

Section (4): Deducted Items from the Zakat Base

Article (26): Deducted Items

The Zakat Payer holding legal accounts shall deduct the following from the Zakat base:

1. Investing in an enterprise within the Kingdom in accordance with Article (43) herein.
2. Investing in a facility outside the Kingdom in accordance with Article (44) herein.
3. Investing in investment funds within the Kingdom in accordance with Article (45) herein.
4. Net fixed assets and their equivalents in accordance with Article (49) and Article (51) herein.
5. Intangible assets in accordance with Article (50) herein.
6. Materials not intended for sale and raw materials in accordance with Article (52) herein
7. Investing in direct and indirect financing funds registered with ZATCA and subject to what is contained in the sub-section (1) of section (7) of chapter (2) herein.
8. The value of investment in deeds and bonds, which, for its issuer, are treated as capital for Zakat purposes, as stated in Article (55) herein.
9. Statutory deposits and their equivalents in accordance with Article (56) herein.
10. Deferred tax assets.

Section (5): Provisions on the Zakat Base

Sub-section (1): Minimum and Maximum Rates for Zakat Base

Article (27): Minimum Zakat Base

1. The minimum for the base set out herein shall be an alternate base unaffected by the added items of Article (23) and the deductible items of Article (26). Further, it shall be according to the results of the Zakat payer's activity, including of the result of invested companies.
2. To be in consistent with the provisions of the following sections (2,3,4 and 6) of Chapter (2) of these Regulations; If the Zakat Base of the Zakat Payer holding legal accounts decreases below adjusted net profit; the Zakat base for the Zakat Payer shall be as follows :
    a) If the total undeducted assets with the difference between amended net profit and net book profit is less than the amended net profit of the Zakat payer, the Zakat base for the Zakat Payer shall be the total undeducted assets, along with the difference between the amended net profit and the net book profit.
    b) If the amended net profit of the Zakat Payer is less than the total undeducted assets plus the difference between the amended net profit and the net book profit, the Zakat base for the Zakat Payer shall be the amended net profit.
3. If the result of the Zakat Payer's Base is negative, and the Zakat Payer does not achieve an amended net profit, the Zakat Payer does not have a Zakat Base to be held accountable accordingly.
4. If the result of the Zakat Payer holding accounts is positive, and the Zakat Payer holding accounts does not achieve an amended net profit, the Zakat accounting shall be based on the result of the Zakat Base.

Article (28): Maximum Zakat Base

1. The maximum limit of the Zakat base - in accordance with the addition and deduction provisions of the Zakat base contained in the following sections (2, 3, 4, and 6) of Chapter (2) of the Regulations - Property Rights and Equivalents, depending on the value shown in the list of financial position at the end of the Zakat year of the Zakat payer, plus the difference between net profit or amended loss of the year and net profit or book loss.
2. The property rights stipulated in paragraph (1) herein shall cover any clause reclassified to fall under the property rights, such as, Profits under distribution classified as liabilities under Article (36), partners' loans under Article (30) and allocations under Article (24).

Sub-section (2): Debts

Article (29): Liabilities

The following shall be added to the Zakat Base of the Zakat Payer holding accounts:

1. Non-current liabilities; including:
   - a) Debts classified as non-current according to the balance of the last term, whether from prior years or added during the year, such as: Payments made by Zakat Payer customers, instruments and bonds issued.
   - b) Provisions representing a stable debt to non-owners, such as: Provision for end-of-service benefits, leave balance provision and equivalents.
   - c) Deferred tax liability.
   - d) Clause of contract obligations established as per the approved accounting standards.
   - e) Lease obligations.
   - f) Negative derivative financial instruments.

2. Current liabilities shall be added to the Zakat base only in the following cases:

   a) If a current asset is deducted, the addition shall be a current liability as per Article (25) of these Regulations.

   b) If the value of the traded liability is greater than the value of the traded asset, the difference is added to the Zakat Base.

   c) If it is proven to ZATCA that the current liability is equivalent to the non-current liability, such as the Zakat Payer renews a debt classified as current with the same creditor for the same purpose, or re-schedules the debt with the same creditor for the same purpose.

Article (30): Partners Credit Loans

1. Partners' loans related to the companies listed in the capital market shall be dealt according to the classification set out in the financial statements.

2. Partners' loans in the securities companies, except for the companies listed in the capital market, and partnerships shall be dealt as liabilities upon fulfilling the following conditions:

   a) There shall be financial statements approved by a chartered accountant in the Kingdom.

   b) They shall be classified in the statements of the Zakat Payer as liabilities.

   c) Payment period shall be identified in the financing contract.

   d) Financing return shall be in line with the market price.

   e) The ownership of the establishment shall not be under the full control of one entity such as: sole proprietorship or one person company.

   If the conditions contained in this paragraph are not fulfilled, partners' loans shall be dealt with as equity.

3. Owners' loans in one person companies and sole proprietorships shall be dealt with as equity so they shall be added to the base.

Article (31): Partners Debit Loans

1. Partners' debit loans and equivalents, such as supporting or additional financing granted to the companies listed in the capital market shall not be deducted from the Zakat Base.
2. Partners' debit loans and equivalents shall not be deducted from the Zakat Base if the debtor is not subject to ZATCA's Zakat collection.
3. Partners' debit loans and equivalents shall be deducted from the Zakat Base granted to the securities companies, except for the companies listed in the capital market, and partnerships when the following conditions are fulfilled:
   a) There shall be financial statements for the company granted.
   b) Payment period shall not be identified in the financing contract.
   c) Financing return shall not be consistent with the market price.
   d) The ownership of the establishment shall be under the full control of Zakat payer as sole proprietorship or one person company.
4. Owners' debit loans in one person companies and sole proprietorships shall be deducted if the grantee is registered with ZATCA and subject to Zakat collection according to herein.

Article (32): Delayed Government Dues

The debits of the Zakat Payer to the government entity listed within its assets shall be considered undeducted assets from the Zakat Base unless the following conditions are fulfilled:

1. It is proven to ZATCA that the reason for delaying the payment of Zakat Payer's dues is related to the government entity and the Zakat Payer shall submit the documents for his entitlement for these amounts and the government entity's delay in payment.
2. It is classified in the financial statements as current assets.
3. The current liabilities, if any, are added to the base, with a maximum value of the delayed government dues deducted from the base, subject to the provisions of Article (25) of these Regulations.

Article (33): Debit Loans

Except for the partners' debit loans contained in the Article (31), the debit loans and equivalents shall not be deducted from the Zakat Base.

Article (34): Set-off Between Credit and Debit Balances

Subject to the provisions of the Articles (30 and 31) of the Regulations, no set off or settlement may be made between credit and debit balances, including owners' or partners' balances. The Zakat Payer shall deem to be independent from his creditors and debtors. If the creditor is the debtor himself or if the debtor or creditor is one of its owners, the liability shall be added to the Zakat Base if the conditions for adding debts are met.

Article (35): Finance Leased Assets

Except for the Zakat Payer of financing activities, the leased assets are not deemed financing, in the financial statements, as an investment that is deducted from the Zakat base of the lessor, regardless of its classification in the financial statements, unless they are building, operation, and transfer projects, in accordance with the Article (74) of the Regulations.

Sub-Section (3): Equity

Article (36): Profits Under Distribution

The profits that the authorized person has decided to distribute to the shareholders and were not deposited in their accounts during the Zakat Year, shall be added to the Zakat Base and treated in the same way as equity.

Article (37): Distributed Profits

1. Except for handling the minimum Zakat Base contained in the Article (27), dividends, including the profits for the year, which the authorized person has decided to distribute and were distributed to the shareholders shall not be added to the Zakat Base.
2. The provision contained in the Paragraph (1) of this Article shall not be applied if it is proven to ZATCA that the Zakat Payer has distributed the profits with the aim of reducing the Zakat Base.

Article (38): Realized and Unrealized Profits

The equity contained in the Paragraph (1) of the Article (23) shall include the realized and unrealized profits, regardless of their classification in the financial statement of the Zakat Payer.

Article (39): Loss Carried Forward

The loss carried forward is a reduction in the equity as per the values shown in the statement of the financial position of the Zakat Payer at the end of the Zakat Year.

Article (40): Treasury Stocks

The item of treasury stocks contained in the equity items is considered a reduction in the equity.

Article (41): Employee Stock Share Program

The item of treasury stocks held for the purpose of allocating and distributing them to the establishment employees shall be considered a reduction in the equity upon the following conditions are fulfilled:

1. The approval of the Extraordinary General Assembly on purchasing and the purpose of purchasing the stocks.
2. The establishment policy, the employee remuneration regulation approved by the Ministry of Human Resources and Social Development or any legal document must stipulate the Employee Stock Share Program.

Sub-Section (4): Investments

Article (42): Controls for Deducting Investment

1. Pursuant to the special provisions of each investment in the Regulations, the investment shall be for non-trading purposes, in order to deduct the investment.
2. Upon the investment is deemed to be retained for trading purpose, this impact shall apply to the investment portfolio assets included in this investment, and that shall not affect the whole assets of the investment item shown in the financial statements.
3. The investment portfolio shall be for the purpose of trading if any of the following cases are applicable:
   a) If the nature of the Zakat Payer's activity is trading in investment according to the financial statements, legal documents of the Zakat Payer, or any other document clarifying the nature of the Zakat Payer's activity.
   b) The investment is managed by another person who is not affiliated with the investor under an employment contract and this person has the authority to issue purchase and sale decisions, unless the investment management agreement stipulates that the role of this person is to investment without trading, except for the fund manager in the investment funds.
   c) If the investment is classified in the financial statements of the Zakat Payer in the current assets.
   d) If the investment is listed in the capital market and the Zakat Payer makes a sale then a purchase, then followed by one or more sales or the Zakat Payer makes a purchase then a sale, then followed by one or more purchases during the year in the same portfolio.
   e) The investor has an announced or proven desire or a decision to dispose of this investment whether at a specified price or during a period of less than one year.
   f) If the Zakat Payer classified its financial statements based on liquidity and has not provided any indication that the investment is expected to be made within a period exceeding (365) days after the end of Zakat year.
4. Deeds and bonds shall not be deductible investments if the conditions contained in the Article (55) are not fulfilled.

Article (43): Investment in an Establishment within the Kingdom

The value of investment in an establishment within the Kingdom shall be deducted if the following is fulfilled:

a) The value of this investment is classified as non-current assets.

b) The investment is for non-trading purposes.

c) The invested in establishment is registered with ZATCA and subject to Zakat collection.

Article (44): Investment in An Establishment Outside the Kingdom

Pursuant to the controls for deducting investments contained in the Article (42), the Zakat Payer's share shall be deducted from the investment value in an establishment outside the Kingdom if the following conditions are fulfilled:

1. The value of this investment is classified as non-current assets in the Zakat Payer's financial statements.
2. The investment is for non-trading purposes.
3. The Zakat Payer pays the Zakat on these investments to ZATCA within the Zakat Return and the Zakat on these investments shall be calculated independently of the Zakat base under a certificate prepared according to the provisions of the Regulation and approved by a certified chartered accountant in the Kingdom.
4. The minimum Zakat base for these investments shall be in accordance with the provisions of the Article (27), whether the profit is distributed or not.

Article (45): Investment in Investment Funds

1. Subject to controls for deducting investments contained in the Article (42), and except for the investments in the finance funds, the value of investments in the investment funds shall be deducted in accordance with the provisions of Articles (77, 78, and 79).

2. The value of investments in the finance funds shall be deducted when the controls mentioned in the Article (42) are fulfilled.

Article (46): Zakat Payer's Inability to Calculate the Investment Zakat outside the Kingdom

1. If the Zakat Payer Holding Accounts is unable to calculate the Zakat on foreign investments according to justifications accepted by ZATCA, he may calculate the Zakat Base for the foreign investments according to the following:
   a) If the establishment subject of investment presents its assets and liabilities using the current/non-current classification, current liabilities shall be deducted from current assets.
   b) Subject to the provisions of Article (19) of the Regulations, if the invested in establishment presents its assets and liabilities according to the order of liquidity, the short term liabilities shall be deducted from the short term assets. Short-term liabilities include Trade creditors and all debits on the establishment that will be due within one year or less. Short term assets include, but not limited to: Cash and cash equivalents, inventory, trade receivables, or any asset owned by the establishment for the purpose of trading.
2. Upon application of Paragraph (1) of this Article, the following conditions shall be considered:
   a) The percentage of Zakat Payer's ownership in the capital of the invested in company is less than (50%).
   b) The Zakat Payer is unable to calculate the Zakat in accordance with the provisions of the Regulations.
   c) The Zakat Payer is unable to access the detailed data required for that.
   d) The Zakat Payer is unable to provide the chartered accountant with the mentioned data.

Article (47): Deduction of Investment in Companies Not Subject To The Provisions Of The Regulation

1. Subject to the controls for deducting investments which is contained in the Article (42), the Zakat Payer's investment in companies not subject to the Zakat collection shall be deducted if the following conditions are fulfilled:
   a) The value of this investment is classified as non-current assets in the Zakat Payer's financial statements.
   b) The Zakat Payer pays the Zakat on these investments to ZATCA within the Zakat Return and the Zakat on these investments shall be calculated independently of the Zakat Base under a certificate prepared according to the provisions of the Regulation and approved by a certified chartered accountant in the Kingdom.
   c) The minimum Zakat base for these investments shall be in accordance with the provisions of the Article (27), whether the profit is distributed or not.
2. If the Zakat Payer invests in external company and this external company was totally owned by Zakat Payers subject to Zakat collection with ZATCA, it shall be considered an internal investment according to the Article (43).

Sub-Section (5): Deductible Assets

Article (48): Controls for Deducting Non-Current Assets and Properties

1. The non-current assets and properties and equivalents listed in the financial statements of the Zakat Payer Holding Accounts shall be deducted in accordance with the following controls:
   a) To be acquired for the purpose of using it and not for reselling it.
   b) To be deducted with its net value shown in the financial statements.
2. The non-current assets and properties and the like listed in the financial statements of the Zakat Payer Holding Accounts and not registered in its name shall be deducted in any of the following cases:
   a) There is an impediment preventing the transfer of the asset ownership to the company's name.
   b) It is used in the company's activity.
   c) It is an in-kind share in the capital.
   d) Its revenues or expenses are recognized in the financial statements.

Article (49): Fixed Asset Components

Fixed assets include, but not limited to:

1. Net fixed assets
2. Payments for purchasing fixed assets.
3. Materials are not prepared for sale as spare parts.
4. Assets financed to the lessee in the Finance Lease contracts in the BOT projects and the like in accordance with the Article (74) of the Regulation.
5. Capital constructions and projects under construction established for the purpose of using them in the activity of Zakat Payer Holding Accounts and not for selling them.
6. The classified right-of use asset that is non-current with the lessee in lease contracts.

7. The classified contract costs are non-current.

8. Investment in real estate that is non-current and not prepared for sale.

9. Raw land that are used in the activity unless they are prepared for sale.

10. Employees' Housing Ownership Programs according to the controls stipulated in Article (53 and 54) of the Regulation.

Article (50): Intangible Assets

The intangible assets held for non-trading purposes shall be deducted.

Article (51): Vital Assets

1. The vital assets may be deducted if they are classified as non-current assets in the financial statements of Zakat Payer Holding Accounts. They may not be deducted from Zakat Base if they are classified as current assets.

2. The vital assets may not be considered fixed assets which may be deducted if they are prepared for sale.

Article (52): Inventory

1. The inventory is not considered an element of deduction from the Zakat Base unless the provisions of Paragraphs (3 and 4) of this Article are applicable.

2. The goods prepared for sale or materials that are part of the final product are not considered an element of deduction even before completing its manufacturing.

3. The materials not prepared for sale -such as spare parts- are considered elements of deduction from the Zakat Base.

4. The raw materials classified as current assets and not part of the final product are considered elements of deduction from the Zakat Base, provided that they are added from the current liabilities, if any, in accordance with the Article (25) of the Regulation.

Article (53): Employees' Residency

Residencies owned by Zakat Payer Holding Accounts for the purpose of providing residencies for his employees, are considered of the deduction elements of Zakat Base.

Article (54): Employees' Residency Debts

1. For Zakat collection purposes, deduction elements of Zakat Base shall include, residency debts that are paid for employees through Employees' Housing Programs, in case their contracts state that funding has been conducted by the interest- free loan or forward sale, without paying any financial profits for the Zakat Payer or further fees over the funding principal amount.
2. While applying paragraph (1) of this Article, the cost of housing unit incurred by the employee, may not exceed the actual cost incurred by the Zakat Payer, therefore the employee may not incur any additional amounts for the loan, this shall be inclusive to cases where the contract is terminated before expiration date.

Article (55): Non-Governmental Bonds and Instruments

For Zakat purposes, the Zakat Payer may deal with bonds and instruments issued by him, as capital, notwithstanding their classification in the financial statement for the issuer, in such case, these bonds and instruments shall be deducted from Zakat Base of investors if they were of a purpose other than trading, and the issuer has stated in any of the bonds that are approved by ZATCA, to be treated as capital in the Zakat Return, the issuer Zakat Payer may not refrain such transaction during the maturity of bonds and instruments term.

Article (56): Statutory Deposits

Statutory deposits shall be considered of deduction elements of Zakat Base upon fulfilling the following conditions:

1. The Zakat Payer shall deposit them for competent authority in accordance with the relevant laws.
2. The Zakat Payer may not be paid for any returns thereon.

Sub-section (6): Discrepancy of Information

Article (57): Re-assessment according to the Significant Discrepancy of Information on Zakat Base.

ZATCA may, upon detecting discrepancy of information, conduct Zakat re-assessment on the Zakat Payer holding accounts, according to the following remedies:

1. In case such discrepancy affects any of equity elements and its equivalent, the discrepancy shall then be added to Zakat Base.
2. In case such discrepancy affects any of non- current liabilities elements, it shall be remedied as follows:
   a) In case the non- current liabilities are equal or more than the total of deduction elements, what have been stipulated in Zakat Return shall be considered, the discrepancy then shall not be added to Zakat Base.
   b) In case the non-current liabilities are less than the total of deduction elements, the discrepancy then shall be added to the Zakat Base, provided that the total of additions may not exceed the total of deduction elements.
3. In case such discrepancy affects any of the deduction elements, it shall be remedied as follows:
   a) In case the deducted principal amount that is stipulated in the Zakat Return is more than the stipulated amount in the information of ZATCA, only the value of the stipulated amount in the information of ZATCA shall be deducted, unless the Zakat Payer proves otherwise.
   b) In case the deducted principal amount that is stipulated in the Zakat Return is less than the

stipulated amount in the information of ZATCA, the value of the stipulated amount in the Zakat Return shall be deducted, provided that it may not exceed its value showed in the approved financial statements of ZATCA.

4. In case the value of the deducted elements increased as a result of a final resolution, the non-current liabilities shall be added to the base according to the provisions of Article (25) of the Regulations.

Article (58): Validity of the Information Provided by the Zakat Payer

ZATCA may take all statutory actions to verify the validity of information provided by the Zakat Payer for the purpose of calculating Zakat Base, in addition to the stipulated actions in the Regulations.

Article (59): Significant Discrepancy in Information on the Outcome of the Zakat Payer Activity

ZATCA may, upon detecting discrepancy of information, conduct Zakat re-assessment on the Zakat Payer Holding Accounts, according to remedies stipulated in Articles (60 and 61).

Article (60): Undeclared Revenues

The undeclared revenues in the Return, shall be remedied in a manner not contradicting with the provisions of Article (103) according to:

1. In case the stipulated revenue in the Zakat Return is more than the stipulated revenue in the information of ZATCA, Zakat Return shall prevail, provided the adjusted net profit or the adjusted net loss may not be affected.
2. In case the stipulated revenue in the Zakat Return is less than the stipulated revenue in the

information of ZATCA, the following shall be added to the adjusted net profit or decreasing the higher adjusted net loss:

a) Difference x (the overall profit in Zakat Return ÷ the stipulated revenues in the Zakat Return).

b) Difference × 15%.

Article (61): Inflated Expenses

Expenses that contradict the information about ZATCA, shall be remedied as follows:

1. In case the expenses in the Zakat Return are greater than the expenses in the information of ZATCA, the difference shall be added to the adjusted net profit or deducted from the adjusted net loss.
2. In case the expenses in the Zakat Return are less than the expenses in the information of ZATCA, Zakat Return shall prevail, provided the adjusted net profit or the adjusted net loss shall not be affected.

Section (6): Calculation of the Adjusted Net Profit or the Adjusted Net Loss

Article (62): Controls of Approving Zakat Payer Activity Expenses

Without prejudice to Article (17) of the Regulations, the following shall be met for approving expenses charged on the income list in order to reach the adjusted net profit or the adjusted net loss derived from the outcome of Zakat Payer activity:

1. Expenses shall be actual; whether conventional or necessary, even if they are belonging to previous years, taking into consideration the provisions of paragraph (9) of Article (63) of the Regulations.
2. Expenses shall relate to the activity.
3. Expenses shall be proven with documents approved by ZATCA.

Article (63): Accepted Expenses

The accepted expenses to reach the adjusted net profit or the adjusted net loss include the following:

1. Bad debts according to the stipulated controls in Article (65) of the Regulations.
2. Annual depreciation installment, for the fixed assets on which the stipulated controls in Article (48) are applied.
3. Funding revenues incurred by the Zakat payer holding accounts for his employees in housing ownership contracts, upon fulfilling the stipulated conditions in Article (54).
4. Owners' salaries and allowances that are registered in the General Organization for Social Insurance.
5. Board of Directors remunerations, including the owners, in a manner that may not contradict the relevant laws.
6. Wages difference exceeding what is registered with GOSI, provided to submit legal supporting documents to be accepted by ZATCA.

7. The paid fundraising to the licensed entities within the Kingdom, according to the relevant laws in the Kingdom.
8. Tuition fees for the children of the employees of the Zakat Payer Holding Accounts, provided that they shall be paid to a licensed academic facility in the Kingdom and to be stipulated in the employment contract of the employee or the Zakat Payer regulations.
9. Provisions made during the year.
10. The paid Zakat or income tax.

Article (64): Re-evaluating Income Statement Items

ZATCA may re-evaluate any expenses or revenue that is proved to be not actual or recorded at a value other than its true value, according to Article (58 and 59) of the Regulations.

Article (65): Bad Debts

1. Bad debts shall be considered of the approved expenses in case of the following conditions:
   a) Zakat Payer shall submit an endorsed certificate by a licensed chartered accountant in the Kingdom stating that debt write-off is being conducted under a decision by the authorized party.
   b) The Zakat Payer had recognized such revenue in its maturity year within its financial statements.
   c) To be as a result of practicing the activity.
   d) The debts may not be against relevant entities to the Zakat Payer.
2. The Zakat Payer shall be exempted from the stipulated condition in paragraph (1/A) in the following cases:
   a) In case the bad debt does not exceed (1%) of the Zakat Payer revenues.
   b) In case of issuing a final judgment stating the debtor's bankruptcy or insolvency according to the relevant laws.

Section (7): Special Provisions for Certain Zakat Payers Activities

Sub-section (1): "Zakat Payer of Financing Activities"

Article (66): General Provisions for Zakat Payer of Financing Activities

1. Zakat Payer of Financing Activities shall be subject to the provisions of this sub-section and provisions of this Regulations.
2. The following shall be exempted from the provisions stipulated in paragraph (1) of this Article:
   a) Article (21).
   b) Provisions stipulated in Section (3) of Chapter (2) except for the Article (24).
   c) Section (4) of Chapter (2).
   d) Section (5) of Chapter (2) except for the sub-sections: 3, 4 and 5 except for Article (56).
   e) Section (6) of Chapter 2.

Article (67): Zakat Base:

1. Pursuant to Articles (71 and 72) of the Regulations, Zakat Base shall be calculated for Zakat Payer of Financing Activities through dividing Zakat assets over the total assets, then to be multiplied by funds sources, according to the following equation:

   Zakat Base for Zakat Payer of Financing Activities = funds sources × (Zakat assets ÷ total assets)

2. The value reflected in the audited financial statements shall be approved by net by the end of Zakat year upon calculating Zakat base for Zakat Payer of Financing Activities.
3. The Zakat Payer of Financing Activities shall be subject to the provisions Article (16) of the Regulations of controls of the financial statements consolidation.
4. The Zakat Payer of Financing Activities shall be subject to the provisions of Article (15) of the Regulations of Zakat amount.

Article (68): Sources of Funds Subject to Zakat

Sources of Funds subject to Zakat of Zakat Payer of Financing Activities shall be limited to:

1. Equity.
2. Liabilities of Zakat Payer of Financing Activities that their all or part of payment on maturity date shall be made after a year or more, as follows:
   a) All types of funding, whether by borrowing, Murabaha, financial lease or other financing contracts.
   b) Debt Instruments, such as bonds and instruments, that are being issued by Zakat Payer of Financing Activities, regardless of their structure.
3. The negative fair value for the due financial derivatives after a year or more.
4. Net assets that have been returned to Unitholders in direct and indirect funding.
5. Except for banks and finance companies licensed by the Central Bank, all sources of funds from direct and indirect financing funds are considered sources of funds subject to Zakat, with the exception of obligations that fall due within less than one year.

Article (69): Zakat Assets

Zakat assets shall be calculated through deducting the non-Zakat assets and the Zakat assets from the total of assets according to the following equation:

Zakat assets = total of assets - (non-Zakat assets + Zakat assets).

Article (70): Non-Zakat Assets and Zakat Assets

The non-Zakat assets and Zakat assets of the Zakat Payer of Financing Activities shall be limited to:

1. The net of the fixed assets and equivalent, stipulated in Article (49 and 50) of the Regulations.
2. Real estates that passed to Zakat Payer of Financing Activities under the execution of a mortgage.

3. Investing in facilities or equity shares subject to Zakat in the Kingdom, considering the provisions in Sub-section (4) of Section (5) of chapter (2) of the Regulations.
4. Investing in direct and indirect financing funds that are registered in ZATCA according to the provisions in Sub-section (1) of Section (7) of chapter (2) of the Regulations.
5. Investing in an investment funds within the Kingdom in accordance with Article (45) of the Regulations.
6. Investing in facilities or equity shares outside of the Kingdom, where Zakat Payer of Financing Activities, shall pay Zakat separately considering the provisions of Sub-section (4) of Section (5) of chapter (2) of the Regulations.
7. Debts of the Zakat Payer of Financing Activities that their all or part of payment on maturity date shall be made after a year or more, regardless its accounting classification, as the following:
   a) All types of funding, whether by borrowing, Murabaha, financial lease or other financing contracts.
   b) Investment of Zakat Payer of Financing Activities in debt instruments, such as bonds and instruments, regardless of their structure.
8. Investments of Zakat Payer of Financing Activities in governmental debt instruments, which the state incurs its Zakat, and which are not covered by paragraph (7/B) of this Article.
9. The value of investment in bonds and instruments, which, at their source, are treated as capital for Zakat purposes, as stated in Article(55) of the Regulations, considering the provisions of paragraphs (7) and (8) of this Article.
10. The positive fair value for the due financial derivatives after a year or more.
11. Statutory deposit for Saudi Central Bank

Article (71): Minimum and Maximum of Zakat Base for Zakat Payer of Financing Activities upon Reaching the Net Profit

1. Upon reaching the net profit by Zakat Payer of Financing Activities, the minimum of Zakat Base shall be (the value of the net profit reflected in the financial statements ×4) and the maximum of the Zakat Base shall be (the value of the net profit reflected in the financial statements ×8) both minimum and maximum of the Zakat Base shall be applied after excluding the effect of the Zakat allocation charged on the value of the net profit reflected in financial statements by the end of the Zakat Year.
2. Failing to reach the net profit by Zakat Payer of Financing Activities, the minimum of the Zakat Base shall be with value of (40%) of the value of the total profit reflected in the financial statements by the end of the Zakat year, and the maximum of the Zakat Base shall be (80%) of the total of profit.

Article (72): Zakat Base for Zakat Payer of Financing Activities, upon Failing to Reach the Net Profit or the Total Profit

Upon failing to reach the net profit or the total profit by the Zakat Payer of Financing Activities, the Zakat Base shall be the result of the mentioned equation in Article (67) without minimum or maximum.

Sub-section (2): Real Estate Activities and Construction

Article (73): Under Construction Real Estate Projects and Off-Plan Sales Projects[1]:

1. Real Estate Projects Under Construction projects must be treated as follows:

   A. The value of real estate under construction prepared for sale and intended to be sold upon completion of construction shall be deducted, unless it is offered for sale in its current condition or the percentage of sales costs exceeds twenty-five percent (25%) annually of the value of the real estate under construction as shown in the financial statements for the zakat year to which the zakat Return relates, in accordance with the following controls:

      1. It shall be classified as Non-Current Assets in the Financial Statements.
      2. Each project ratio shall be calculated separately.
      3. The ratio shall be calculated based on sales cost.

      According to the following equation:

      Value of cost (sales) exclusions ÷ (Beginning Inventory + the Additions during the year) = Cost of sales ratio.

      4. ZATCA may review and amend the ratio stated in this paragraph according to the market conditions.

   B. If the under construction real estate prepared for sale were classified in the inventory or the Current Assets according to the planned Accounting Standards, it will be deducted from Zakat base when fulfilling the criteria included in paragraph (A) of this article, provided that it shall be added from the current obligation according to Article (Twenty-five) of these Regulations.

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(1) This article was amended pursuant to HE Minister of Finance decision No. 1248 dated: 11/10/1446 H (April 3, 2025 G).

2. Zakat treatment of off-plan sales projects shall be as the following:

   A. As an exception to Article (Seventeen) of the regulations, deduction method for off-plan sales projects: Off-plan sales projects licensed by the relevant authority under the applicable law can be deducted from the zakat base using the formula below, allowing for a more accurate calculation of zakat obligations when the result is greater than zero:

   Amount deducted = Project balance at year-end - Additions to the project during the year.

   B. The formula provided in (2/A) must be applied separately to each off-plan real estate sale project.

   C. If a project's balance is split between current assets and noncurrent assets in the financial statements, the deduction starts from applying the formula mentioned in Paragraph (2/A) of this Article with the noncurrent assets and any remaining deductions -if any- are applied to current assets.

   D. Sources of funds for off-plan sales projects should be added to zakat base in accordance to Section 2 of the Executive Regulations.

   E. In applying the provisions contained in Paragraph (2) of this Article, consideration shall be given to the provisions contained in Article (Twenty- five) of the Regulation.

Article (74): Build, Operate, and Transfer (BOT) Projects

1. Build and operate projects refer to investments contracts to provide productive assets that generate income. The lessor undertakes constricting the productive assets that generate income and it is operation against the benefit generate there from for the lessee (benefit / production) in return for commitment to the lease payments for the benefit of lessor. Build and operate contracts vary in their forms, mechanisms, and objectives, including, but not limited to:

   a) Contracts of Build, Operate and Transfer (BOT)

   b) Contracts of Build, Own, Operate and Transfer (BOOT)

c) Contracts of Build, Own, and Operate (BOO)

d) Contracts of Acquisition, Operate and Transfer (AOT)

2. For the purposes of this article, lessor means: Builder, producer, developer or seller of the benefit, product or service in contracts of build, operate and transfer ownership in all their forms.

3. For the purposes of this article, lessee means: beneficiary or buyer of the benefit, product or service in contracts of build, operate and transfer ownership in all their forms.

4. BOT projects and such similar forms shall be deducted by the lessor if the following conditions are met:

   a) Lessor commitment to establish the project.

   b) Lessor commitment to operating the project for selling the benefit, product or the service during the period of the contract.

   c) Lessor - or its assignee- commitment to buying the benefit, product or the service during the period of the contract.

   d) The subject of the contract shall be mainly the operation of the asset for the purpose of producing and selling the benefit, product or the service, but not funding the asset itself. However, if found that the fact of the transaction is funding the asset, it shall not be deducted from Zakat Base regardless its classification in the financial statements.

   e) The lessor may not be one of the Zakat Payers of the financing activities.

   f) These assets shall be classified as non-current assets of the lessor.

   g) The activity of the lessor shall be aligned with the activity of BOT project.

Sub-section (3): Investors in Investment Funds

Article (75): Investor Zakat Payers in Investment Funds

Investment in the investment fund shall be subject to the Zakat collection according to Sub-section (4) Section (5) of Chapter (2) of the Regulations, expect:

a. An investment Unitholder in the financing fund.
b. A Unitholder who owns the fund in full, directly or indirectly, and has submitted a consolidated Zakat Return for the fund.

Article (76): Fund Obligations

1. Before the end of the first fiscal year from the date of the approval on their establishment, the fund shall be registered with ZATCA for Zakat purposes.
2. The fund shall submit the information Return within one hundred and twenty (120) days from the end of Zakat Year of the fund, and shall be attached with the following:
    a. The approved financial statements of the fund issued by a certified chartered accountant in the kingdom.
    b. A record of the investment fund's transactions with related persons.
    c. Any additional data that ZATCA may request from the fund during the stage of submitting the Return.
3. The fund shall provide the Unitholder with required information to its Zakat Base.
4. The fund and the Unitholder shall provide ZATCA with the information required by ZATCA to be examined and reviewed in relation to Returns within twenty (20) days from the date that ZATCA sends the request. ZATCA may extend the period of the above or carry out the assessment according to the information available to ZATCA, in the event of failing to provide the information required for examination purposes.
5. In case there was a difference between the fiscal year of the Unitholder and the fiscal year of the fund, Zakat shall be calculated based on last audited financial statements of the fund.

6. Except the direct and indirect financing funds, funds may not be subjected to Zakat collection according to the Regulations, including the funds that form a facility with special purposes and licensed by the Capital Market Authority, provided that it may not perform economic business or investments activities, which are not provided in articles of association or relevant terms and conditions of these investment funds.

Article (77): Deducting the Investment Value in Investment Funds from Zakat Base

Unitholders may deduct the value of their investments in investment funds, provided that the following conditions shall be met:

1. The Zakat payer's investment in the fund is held for purposes other than trade.
2. It shall calculate its investment Zakat in the fund and pay it to ZATCA either within its audited financial statements, according to prepared certification under the Regulations, and approved from a certified chartered accountant in the Kingdom according to Article (78)of the Regulations.
3. Calculation of Unitholder Zakat shall be included in the financial statements of the investor or the referred certification in paragraph (2) of this Article by calculating Zakat Base of the fund and then determining number of unites that it hold in the fund and finally calculate its due Zakat amount.
4. In case that Zakat payer was not able to apply the provided in Article (78) of the Regulations and access to the detailed data and provide the Chartered Accountant with it, Zakat Payer may apply the stated in Article (46) of the Regulations to deduct investment value from Zakat base.

Article (78): Calculation of Unitholder Zakat In The Investment Funds

1. Unitholder Zakat shall be calculated according to the following equation:

   (Fund Zakat base × percentage of ownership of Unitholder in the fund × percentage of Zakat provided in Article (15) of the Regulations).

2. Zakat base of the fund shall be calculated according to the Regulations and considering the following:.

   a) The net assets of Unitholders shall be included in Zakat base of the fund according to the provided in Article (23) of the Regulations, by its face value at the end of the fiscal year of the fund.

   b) The fund's investment for a non-trading purpose shall be treated as external investments for a non-trading purpose according the provided in Article (44) of the Regulations.

   c) Investments' percentages for a non-trading purpose of stock funds shall be determined according to the following:

      1. Total amount of subscription shall be deducted from the total amount of buying process, the total amount of Redemption process shall be deducted from total amount of selling process and higher output shall be taken from both and divided on the net of investments value in stocks of the fund for the same month.

      2. (2.c) (1) of this Article shall be applied for every month during the year, and higher percentage of months of the year shall be multiplied in investment value of the fixed stock of the end of fiscal year balance in the statement of financial position of the investment fund and the result shall be classified as a percentage of trading of this item, and the remaining treated as the investment that will be kept for non-trading according to Article (43) of the Regulations.

      3. To implement the provided in paragraph (c), it is required that the Fund's main activity shall be to invest in local and international financial market stocks.

d) Non-current investment properties and non-prepared for sale considered as fixed assets, and the provided in Article (26) (1) of the Regulations shall be applied on them.

e) The deference between adjusted net profit, and net profit or book loss will be added to Zakat base of the fund, and the adjusted net profit of the fund shall be determined according to Articles (62), (63), and (46) of the Regulations. Acceptable expenses include, for example but not limited to, conservation, management, oversight and audit fees.

f) When the fund choses to offer its assets and liabilities by using current and non-current classification and the desire of deducting current asset in which the deduction controls from Zakat base are verified, it shall, when deducting from the base, add equivalent of current obligation, if any, according to Article (25) of the Regulations.

Article (79): Minimum Zakat Base of Unitholder

Minimum Zakat base of these investments shall be according to Article (27) whether the profit is distributed or not.

Article (80): Fund Manager's Commitment Upon Expiration

Fund Manager shall notify the ZATCA upon expiration of the fund within sixty (60) days from the expiration date.

Sub-section (4): Insurance Activity

Article (81): Provisions of Insurance Activities Zakat Payer

1. The following is one of deduction element from Zakat base for the Insurance Activity Zakat Payer: Statutory deposits for General Organization for Social Insurance (GOSI), unless the Zakat Payer was able legally to invest it or it was invested for its benefit.
2. Additional elements to the Zakat base of the Zakat Payer of insurance activities are: The share of policy holder of surplus insurance.
3. Additional elements to the Zakat base of the Zakat Payer of insurance activities are: Non-current classified unearned premium reserve item according to Article (19).
4. Deduction is considered acceptable fees of insurance activities of the Zakat Payer to reach the adjusted net profit: Non-current classified unearned premium reserve during Zakat base, which are determined according to professional assets, to be returned to the cosmetic receptacle the following year.

Chapter (3): Calculating Zakat Bas For Zakat Assessment On An Arbitrary Basis

Article (82): Exceptions To Subjection Of Zakat Payers For Zakat Assessment On An Arbitrary Basis (ZP-AA)

ZP-AA shall be subject to provisions of the Regulations, except for the provisions in the following sections: (2, 3, 4, 5, 6, and 7) of chapter (2), and Chapter (4) Section (1) Article (92) and Section (1) of Chapter (5) of the Regulations.

Article (83): Treating Assessment Zakat Payer based on financial statements

ZATCA may treat the ZP-AA as one who holds accounts if it finds that the Zakat payer has financial statements. The delay in issuing these financial statements over several years will not be considered evidence of their non-existence, unless ZATCA finds otherwise.

Article (84): Zakat Percentage of ZP-AA

Exception of Article (15) of the Regulations, the Zakat percentage of ZP-AA calculated as (2.5%) of its Zakat base.

Article (85): Short term financial period of ZP-AA

Beginning of the activity of short term of financial period or its end shall not be subject to Zakat collection, unless it was (354) days or more.

Article (86): Minimum Zakat of ZP-AA

The minimum Zakat of ZP-AA shall be (SAR 500) five hundred Saudi Riyals.

Article (87): Treating ZP-AA based on Tax Identification Number

ZP-AA will be treated based on TIN, regardless number of records or license which are listed under this number.

Article (88): Transfer of Zakat Payer To Accounting According To ZP-AA Or Accountants

ZP-AA may submit a request before the end of Zakat year to ZATCA to transfer from ZP-AA account to Zakat payer holding accounts, and ZATCA shall issue its resolution about that within thirty (30) days from the date of completing the request. It cannot return after that to ZP-AA account unless approved by ZATCA and after submitting reasons approved by ZATCA.

Article (89): Calculating Zakat Base for the ZP-AA

1. According to the following equation, the Zakat base of the ZP-AA shall be assessed by determining a capital aligning with its activity volume: (Sales ÷ 8) + (sales × 15%).
2. Sales provided in Zakat base calculation equation of the ZP-AA may not be less than those disclosed in the VAT Return (including sales subject to zero and exemption), as well as the disclosed data in the Real Estate Transactional Tax of economic activities and this for closest period or disclosed tax year for Zakat year subject to calculation. The disclosed sales in the VAT Return and the data in the Real Estate Transactional Tax as a whole are considered sales of Zakat payer, as it shall pay Zakat for that of the Zakat year.
3. If the ZP-AA do not have registered sales in the VAT, ZATCA shall asses its sales according to the higher result by one of the following standards:
   a) Annual average number of active employees; according to the data of the General Organization for Social Insurance multiplied by (SAR 6,000).
   b) Value of imports, according to customs Returns multiplied by one hundred and fifteen (115%).
   c) Value of purchases, according to VAT Returns multiplied by one hundred and fifteen (115%).
   d) Total sales, according to points of sales, data of Etimad platform, export data, and data of civil contracts.

4. ZATCA in purpose of estimating ZP-AA sales may: Approve the standards that reflect it actual sales according to its estimation or recalculate its sales if found that there were higher sales more than usual, according the provided periods in the Article (106).
5. Upon final adjustment of the ZP-AA data for VAT or Real Estate Transactional Tax purposes, Zakat of the ZP-AA shall be adjusted accordingly, whether by increase or decrease.
6. If the result of the equation of the Zakat base calculation of the ZP-AA is less than the capital provided in the business records, licenses issued to the activity or any other documents through which ZATCA can determine the capital, the capital provided in the registers and licenses shall be the Zakat base.
7. ZATCA may adjust the way of calculating Zakat Base of a ZP-AA according to the conditions of the market and behaviors of ZP-AA.

Article (90): Increasing Zakat to for a ZP-AA

If it becomes clear for a ZP-AA that the amount of Zakat due is more than the amount that ZATCA estimated, such Zakat payers may increase the amount of Zakat due more than the value estimated by ZATCA.

Article (91): Zakat Assessment for ZP-AA

The estimation under the provisions of this Chapter shall be considered a Zakat assessment and shall be subject to Zakat assessment provisions in Section (2), Chapter (5) of the Regulations.

Chapter (4): Zakat Payer's Rights and Liabilities

Section (1) Zakat Payer's Rights

Article (92): Date of starting Zakat Collection

Without prejudice to what is stated in Article (10) of the Regulations, the Zakat Payer have the right, after submitting documentary evidence acceptable to ZATCA, to specify another date for the start of the activity.

Article (93): Amending Zakat Return

Accounting-books Zakat Payer may request an amendment to the Zakat Return in accordance with Article (103) of the regulations.

Article (94): Zakat Dues Installment

Zakat Payer may request to installment payment of Zakat dues, according to the guidelines in Article (118) of the Regulations.

Article (95): Recovering surplus amounts:

Zakat Payer may recover any surplus amounts paid in Zakat dues if it can be demonstrated that overpayment has occurred, as outlined in Article (107) of the Regulations.

Article (96): Maintaining Confidentiality of Information:

ZATCA shall maintain the confidentiality of the Zakat Payer's Zakat-related information, in accordance with Articles (108 and 109) of the Regulations.

Article (97): Zakat Payer's Right To Object To Zatca Decisions:

The Zakat Payer may to object ZATCA's Decisions to ZATCA , prior to initiating grievance procedures to the Dispute Resolution Departments, in accordance with the provisions of Article (116).

Section (2): Zakat Payer Liabilities

Article (98): Registration with ZATCA, Submission of Zakat Return, and Payment of Zakat Dues:

The Zakat Payer shall:

1. Register with ZATCA before the conclusion of its initial fiscal year.
2. Submit the Zakat Return along with the supporting documentation on which documents it depended on determining the Zakat base, as per the regulations, provided that the required documents shall be specified according to ZATCA's forms and procedures.
3. Submit any requested documents or clarifications ZATCA requires during examination and reviewing the Zakat Return, and enable ZATCA to access them in accordance with the relevant laws and legal procedures.
4. Pay Zakat dues to ZATCA -except in cases where the Zakat Payer is exempted from compliance, in accordance with Regulations provisions.

Article (99): Language and Forms of Documents Submitted by the Zakat Payer:

1. The Zakat Payer shall provide all supporting documents and clarifications for the Returns submitted by it in Arabic.
2. Documents shall, in order to be accepted, be presented by an authorized person.
3. ZATCA may request documents as per the following controls:
    a) ZATCA shall explain the reasons for requesting the document, and this shall be only within the scope of the purpose for which it was requested.
    b) ZATCA shall consider the appropriate period of time for the Zakat Payer to submit the requested document, provided that the timeframe shall not be less than ten working days.

4. ZATCA shall take into account all official papers issued by competent government bodies and ZATCA shall bear the burden of proving its incorrectness.

5. If it is proven to ZATCA that the Zakat Payer has submitted incorrect documents or information with the intention of Zakat evasion, ZATCA may request documentation without following to the rules outlined in Paragraph (3) of this Article.

Article (100): Reporting Business Activity Cessation:

The Zakat Payer shall notify ZATCA upon cessation of their business activity, as per Article (11) of the Regulations. Failure to comply with this provision may result in ZATCA continuing to impose Zakat on the Zakat Payer.

Article (101): Approved Communication Channels:

Communications between Zakat Payers and ZATCA shall be legally effective through various approved means, including but not limited to: ZATCA's automated system, SMS, E-mails, correspondence made to the Zakat Payer's national address, or any other means approved or accepted by ZATCA.

Chapter (5): Zakat Collection Procedures

Section (1) Zakat Return:

Article (102): Submission of Zakat Return

1. Accounting-books Zakat Payer shall submit its Zakat Return and pay Zakat dues based on it to ZATCA within a period not exceeding one hundred and twenty (120) days as of the end of the Zakat year. If such period concludes on an official holiday, the deadline extends to the first working day following the holiday.
2. Accounting-books Zakat Payer shall submit the Zakat Return according to the Zakat Return form of the Accounting-books Zakat Payer in ZATCA's E-system, attaching to it the documents related to the data contained in the Zakat Return according to the Zakat Return form for the account of the Accounting-books Zakat Payer in ZATCA's E-system.
3. Paying Zakat dues shall be through a bank transfer via the "Sadad" system or any other means accepted to ZATCA.

Article (103): Amending Zakat Return

1. If an Accounting-books Zakat Payer finds an error in its Zakat Return, it is entitled to request amending it from ZATCA.
2. Upon approval of the amendment request by ZATCA, the Accounting-books Zakat Payer shall revise the Zakat Return within a period not exceeding thirty (30) days, provided that failure to comply with such deadline the Zakat Payer shall reapply to ZATCA for the amendment.

Article (104): Controls for Amending Zakat Returns

1. The submission of an amendment request for the Zakat Return shall be conducted through ZATCA's E-system.
2. Acceptable documents and justifications shall be attached.
3. The amended Return shall be submitted within the time period specified in Article (103).
4. If the Zakat Payer's request for amendment is due to an under Return, the following conditions shall be added to the above controls:
   a) The amendment request for the Zakat Return shall be submitted before issuing the Zakat assessment.
   b) The expiration of limitation period, as per Article (102) of the Regulations, at the time of submitting the request shall not have passed.
   c) Upon amending the Return as per the Zakat Payer's request, the limitation period specified in Article (106) of the Regulations shall be calculated as of the date of amending the Return.

Article (105): Zakat Return Examination

1. ZATCA examines the Zakat Return at the Zakat Payer's premises, ZATCA's premises, or any other location designated by ZATCA.
2. ZATCA may request necessary clarifications and documents it needs, within the scope of relevant regulations and procedures. It may authorize any of its employees or representatives to attend the Accounting-books Zakat Payer's premises for examination purposes. The field examination shall be documented in a report signed by ZATCA's representative and the accounting-books Zakat Payer's duly authorized representative. If the accounting-books Zakat Payer's duly authorized representative is absent or refused to sign the report, it shall be noted in the report, and in all cases the report shall be an evidence against the accounting-books Zakat Payer regarding the established facts therein.

3. The accounting-books Zakat Payer shall provide ZATCA with the requested information within a period not exceeding twenty (20) working days from the date of ZATCA's request. If the Accounting-books Zakat Payer fails to provide the information within this period, ZATCA may either extend the period or proceed with issuing the Zakat assessment, assuming Zakat dues based on the controls set in Article (115).

Article (106): Zakat Return Correction

1. ZATCA may issue the Zakat assessment, reassessment, or error correction within a period of five (5) years from the deadline for submitting the Zakat Return in the following cases:
   a) Zakat assessment, reassessment, or error correction concerning the application of any provisions of the regulations or relevant laws.
   b) Assessment, reassessment if ZATCA discovers that the Zakat Payer's Return is incorrect based on information available to it during the statutory assessment period or based on information obtainable by it during such period.
2. ZATCA may issue the Zakat assessment, reassessment, or error correction within a period of ten (10) years from the deadline for submitting the Zakat Return in the following cases:
   a) Submitting the Zakat Return after the statutory period referred to Article (102) (1) of the Regulations.
   b) Submitting the Return incomplete or non-compliant with forms approved by ZATCA.
   c) Failure to pay Zakat dues according to the Zakat Return within the statutory period.
   d) Failure to submit the Return and calculate Zakat according to the Zakat assumption specified in Articles (114 and 115) of the Regulations.
3. ZATCA may issue Zakat reassessment without being limited to a certain period in the following cases:
   a) If ZATCA proves that the Accounting-books Zakat Payer has provided documents or information inaccurately with the intention of Zakat Evasion.

b) If the accounting-books Zakat Payer agrees to conduct Zakat reassessment or requests it from ZATCA and approved.

c) If a Zakat Payer is not registered with ZATCA.

4. ZATCA may rectify any clerical or arithmetic errors existing in the Zakat Return, and such corrections, made within a period of (10) ten years from the deadline for submitting the Zakat Return, do not invalidate the Zakat Return.

5. ZATCA may refer anyone who submits incorrect or deceptive documents or information to the competent authorities for legal action.

6. Moreover, ZATCA may register a Zakat Payer who is not registered with it and to conduct a Zakat assessment on such Zakat Payer without being limited by a specific time period, as outlined in Paragraph (3) of this Article.

Article (107): Recovering Surplus Amounts:

Amounts in excess of Zakat dues may be recovered according to the following:

1. If it is discovered that a Zakat Payer has paid amounts in excess of Zakat dues according to Regulations, and then, the such amounts in excess is treated as an advance payment for subsequent Zakat years and credited to the Zakat Payer's account for subsequent Zakat years, unless the Zakat Payer requests the recovery of such amount in excess within five (5) years from the regular payment date of the amount, provided that in calculating this period, it should be taken into account that if a Zakat assessment is issued to the Zakat Payer and the Zakat Payer objects to it, the calculation of the remainder of the period shall be resumed after a final decision is issued confirming that the Zakat Payer is entitled to such amounts.

2. ZATCA shall check the Zakat Payer's request, confirm the amounts paid in excess, and complete this within (30) thirty days from the date of establishing the Zakat Payer's right to recovery, and after the Zakat Payer's request for it.

3. If there are still Zakat Returns not been submitted to ZATCA, or in cases of objection or appeal, no request to return amounts paid in excess shall be considered except after a final ruling is issued confirming the Zakat Payer's entitlement to such amounts, and the excess amounts shall be returned to the Zakat Payer's after the final ruling is issued in favor of the Zakat Payer's.
4. The Zakat Payer may request the transfer of the amounts paid in excess to pay any Zakat or tax dues to ZATCA, and the date of the Zakat Payer's request for transfer shall be considered the date proving the fact of payment of such dues.

Article (108): Disclosure of Zakat-Related Data And Information.

ZATCA, its employees, and affiliates working with or for it shall maintain the confidentiality of Zakat-related information accessible to them through their work. However, ZATCA may disclose such information when:

1. Disclosure is required by relevant laws and regulations, or under a court ruling.
2. Disclosure is required by the regulatory authorities relevant to implementing the provisions of the regulation.
3. Disclosure is required by an official body in a foreign country as an implementation for any treaty or agreement in which the Kingdom is a party.
4. Disclosure is based on written approval from the Zakat Payer.

Article (109): Disclosure of Zakat-Related Data And Information.

When disclosing Zakat Payer's Zakat-related information as outlined in Article (108) of the regulations, the following requirements shall apply:

1. The disclosure shall be officially mandated by ZATCA.
2. Disclosure shall be to the extent of its intended purpose and to the extent necessary to achieve such purpose.

3. Measures ensuring the confidentiality of disclosed information, preventing its loss, damage, or illegal circulation shall be taken.
4. Prior to commencing the disclosure, ensuring the recipient shall be fully informed about the confidentiality and privacy requirements associated with such information.

Article (110): Keeping of Zakat Return Documents

1. The Zakat Payer shall keep the documents on which it depended when submitting the Zakat Return within the Kingdom for a period of no less than (10) ten years.
2. ZATCA may request any data or clarifications, at any time, for the purpose of verifying the accuracy of any data or clarifications relied upon in calculating Zakat dues, provided that the period shall not exceed (10) ten years from the date of submitting the Zakat Return.
3. ZATCA may obtain any data or documents held by any third party, without referring to the accounting-books Zakat Payer; including direct access to data and documents in general in a way that does not constitute a violation of relevant laws or regulatory procedures.

Article (111): Zakat Return Proof Of Accuracy

1. The accounting-books Zakat Payer shall be responsible for proving the accuracy of the Zakat Return's contents.
2. If the accounting-books Zakat Payer is unable to prove the accuracy of what is claimed in the Zakat Return, ZATCA may refuse to accept the item whose accuracy has not proven by the Zakat Payer, or Zakat assessment with the assumption of Zakat dues according to the controls mentioned in Article (115).

Section (2): Zakat Assessment And Assumption

Article (112): Issuing the Zakat assessment

ZATCA issues the Zakat assessment based on the Zakat Return and other information available to it. ZATCA may amend the Zakat assessment and explain the grounds for the amendment, or resort to the Zakat assumption on the accounting-books Zakat Payer based on the facts available to it in accordance with what is mentioned in Article (114).

Article (113): Notifying Zakat assessment:

ZATCA shall notify the Zakat Payer of the Zakat assessment, which notification shall include the following information:

1. The basis and justification for calculating the Zakat assessment.
2. The amount of Zakat dues.
3. The date when Zakat dues shall be paid.
4. The Zakat Payer's right to object to the Zakat assessment.

Article (114): Zakat Assumption:

ZATCA may assume Zakat dues on the accounting-books Zakat Payer in the following cases:

1. If the accounting-books Zakat Payer fails to submit the Zakat Return according to what is specified in Section (1) of Chapter (1) of the regulations.
2. If the accounting-books Zakat Payer fails to provide ZATCA with the documents requested by it within the time period specified in Article (105).
3. If ZATCA acquires additional relevant information for the calculation of the Zakat base.

Article (115): Zakat Assumption Controls:

In cases demanding Zakat assumption, ZATCA shall comply with the following controls:

1. The Zakat assumption shall apply only after sending a warning to the Zakat Payer Holding Accounting Books and the elapse of at least sixty (60) days from the date of the warning.
2. This action shall be based on the information and data available to ZATCA.

Article (116): Submitting An Objection Request.

1. Any one subject to ZATCA decision may file an objection against it in accordance with the procedural rules of the Committee for Resolution of Zakat, Tax, and Customs Violations and Disputes, as stipulated in Royal Decree No. (25711) dated 08/04/1445 H (October 23, 2023), and any subsequent amendments thereto.
2. In order for the objection to be accepted in form, the Zakat payer pay all Zakat dues related to the items on which there is no objection, and shall pay a minimum of 10% and a maximum of 25% of the Zakat amounts for the objected items, or furnish a financial guarantee for the same. ZATCA, then, may establish regulatory controls in this regard.

Section (3): Collection

Article (117): Zakat Dues Payment

Zakat due shall be considered final and payable for the Zakat Payer in the following cases:

1. Zakat Payer's acceptance of the Zakat assessment, expiry of (60) days from its date with no objection being filed by Zakat Payer to ZATCA, or once the lawsuit raised against ZATCA in the Resolution of Disputes Committees is rejected.
2. Zakat Payer submission of the Return and the expiry of (120) days from the end of the Zakat year without paying Zakat due as per Return.
3. Upon amendments to the Return as per Articles (103 and 104).
4. Resolution of Disputes or appellate departments issuing finial decision in the Zakat, tax, and customs committees
5. If the Zakat Payer did not file a lawsuit before the Departments for Resolution of Disputes, did not objects against ZATCA's decision before the internal committee for reconciliation within (30) days of the date of ZATCA's rejection of the Zakat Payer objection, or the expiry of the (90) days from the date of Zakat Payer objection to ZATCA without a solution.
6. Expiry of the (30) days from the date of reconciliation rejection by the internal committee without filing the lawsuits before the Department of Resolution of Disputes.
7. Notifying the Zakat Payer in written of the cancellation of the installment as per Article (119) of the Regulation.
8. Issuance of dispute resolution decision by the internal committee

Article (118): Zakat Dues Installment Payment

1. Zakat Payer may request approval for installment payment of the amounts due, subject to following criteria:
    a) A request shall be filed to ZATCA showing the payable Zakat dues, relevant fiscal years and the reasons why the liability cannot be settled on due date, together with supporting documents. The request shall state the number of installments proposed, amount of each installment, and any down payments.
    b) ZATCA shall review and answer the request within thirty days of the requirements completion, considering the Zakat Payer solvency, volume of business, its nature and market conditions.
    c) Installment period shall not exceed the number of years for which the liability is due. ZATCA may increase the installment period to no more than double of the number of liability years.
2. ZATCA may decide the installment of the due amounts on the Zakat Payer, determine the installment schedule, amount of each installment, and the cancellation of the installment payment whenever it is revealed that Zakat dues are losable.

Article (119): Canceling The Zakat Dues Installments

In case of failure to pay two consecutive installments or three nonconsecutive installments within the approval installment period or otherwise any Zakat due is found by ZATCA may not be paid and the Zakat dues in this case shall be payable.

Article (120): Delaying on Zakat Dues Payment

1. If the Zakat Payer delays the payment of the Zakat dues as per the deadline specified in the Regulations, ZATCA shall send a notice to the Zakat Payer of A first demand for payment within (30) days from the date of demand for payment. If the Zakat Payer did not pay the due amount, ZATCA shall send a second demand for payment within the next 30 days. If the Zakat Payer does not pay the due amount, ZATCA shall send a third demand for payment within (30) days.
2. In case of no response received from Zakat Payer to the first and second and third demands for payment, ZATCA may take all the legal procedures to oblige the Zakat Payer for paying Zakat dues, and notify the Zakat Payer with all the procedures taken against it.
3. ZATCA will take the required steps to cease the proceedings against the Zakat Payer upon receiving Zakat dues from the Zakat Payer.

Article (121): Zakat Payer Death Before Paying Zakat Dues

Where the owner of an one person with outstanding Zakat has deceased, the Zakat due shall be collected prior to distributing the estate, otherwise the heirs or legatee shall be required to settle Zakat due proportionately with their respective shares of the estate and while staying within the estate's entire value.

Article (122): Seizure Of The Assets Of The Zakat Payer Delayed On Paying Zakat Dues

In case of Zakat Payer's failure to settle Zakat payable on due date, ZATCA may seize Zakat Payer's movable and immovable assets legally subject to seizure, in accordance with the criteria and procedures stated in Articles (123 and 124).

Article (123): Procedures For Seizing The Assets Of The Zakat Payer Delayed On Paying Zakat Dues

ZATCA shall proceed with the procedures of seizing the movable and immovable assets of Zakat Payer by one or more of the following methods:

1. Writing letters to the Saudi Central Bank (SAMA) and Capital Market Authority (CMA) and other competent authorities to block Zakat Payer's assets and funds with local banks within the limits of Zakat amount due and transfer the same to ZATCA's account when requested.
2. Writing a letter to the Ministry of Finance ("MOF") requesting MOF to seize any amounts due to Zakat Payer, to the limit of Zakat due.
3. Writing a letter the Ministry of Justice ("MOJ") requesting MOJ to block Zakat Payer's disposal of any immovable assets.
4. Seizing the Zakat Payer's imports to the limit of Zakat amount due.
5. Requesting the seizure of any amount that any third party owes to the Zakat Payer.

Article (124): Criteria For Seizing The Assets Of The Zakat Payer Delayed On Paying Zakat Dues

1. No seizure shall be enforced on the Zakat Payer expenses due to its employees and third parties, including subsidies required under any other applicable laws, regulations and rules. Such expenses shall be determined in accordance with the information available with ZATCA.
2. Once the seizure has been enforced, the seizure enforcing party shall transfer to ZATCA the assets seized when requested to do so. The obligation to transfer to ZATCA the assets seized shall include any amounts due to Zakat Payer from the seizure enforcing party on the date the notice to seize is given or date of the request to deliver the seized assets.
3. Seizure shall be enforced on debtor's assets due from third parties to the limit of Zakat due. The same shall be applicable to a natural person where such natural person is a partner in

a partnership or in an equity partnership. However, Zakat Payer's tools used in business activities, his belongings and personal furniture to a maximum of SR 300,000 (Three hundred thousand Saudi Riyals) shall be excluded from seizure.

Article (125): Other Procedures

1. ZATCA may request the enforcement of seizure of Zakat Payer's assets debited to ZATCA, the assets sold to the extent adequate to settle the Zakat due once seizure procedures are completed after the expiry of notice deadline, in accordance with statutory procedures, subject to the following:
   a) The assets seized shall be sold by ZATCA or competent authority.
   b) Zakat Payer shall be allowed by ZATCA to provide a list of the assets the Zakat Payer is wishing to exclude from sale where the sale amount of other assets adequately covers the Zakat due.
   c) Seizure and selling expenses shall be paid out of sale proceeds, after which Zakat due shall be settled and the remaining balance returned to Zakat Payer.
   d) The selling of Zakat Payer's assets shall be suspended during administrative or judicial review of assessment on basis of which the seizure is enforced except however such assets are liable to damage and those assets the Zakat Payer may request ZATCA to sell.
2. If the Zakat Payer has final dues, ZATCA, per Royal Order No. 16145 dated 01.04.1437 AH (January 1, 2016), may collaborate with relevant authorities to deny the Zakat Payer the right to participate in government tenders, foreign recruit of labour, and also to deny Zakat Payer the right to have commercial registration, licenses and work permit issued/renewed.

Section (4): Closing Provisions

Article (126): Guidelines

ZATCA will raise the awareness among Zakat Payer, strengthen their voluntary compliance, and issue required guidelines or Zakat brochures to help them to fulfill their obligations.

Article (127): Detailed Resolutions

1. ZATCA - at its own discretion- may issue a detailed resolution to indicate the Zakat treatment for any transaction as per the Regulation provisions, through a detailed resolution issued to the applicant or published to all. The detailed resolution shows the period applied for and it is also based on the provisions and procedures determined by ZATCA.
2. ZATCA shall comply with the provided explanations content in the guidelines, Zakat brochures or the detailed resolutions upon applying the provisions of the Regulations to the periods following the issuance, publishing or amendment of these guidelines, Zakat brochures, or the detailed resolutions, without extending to previous periods of issuing, publishing, or amending it.
3. ZATCA shall comply with the provisions of Regulations upon issuing the detailed resolutions.
4. The provision of paragraph (2) of this Article shall not apply in the following cases:
   a) Difference in facts, activities or actual transactions from the determined in the guidelines, tax publications or the detailed resolutions.
   b) Omission or misrepresentation of essential facts.
   c) Transactions do not meet assumptions or requirements included in the guidelines, tax publications or the detailed resolutions.
5. The purpose of any document that ZATCA issues according to this Article is to explain how to apply the provisions of Regulations to certain transactions that includes specific set of facts. It does not mean giving ZATCA power to make any exception, waiver, privilege, discount or any other advantage, unless as permitted under the provisions of the Regulations.

Article (128): Special Rules For Counting Zakat For Some Activities

The Governor of ZATCA may propose specific rules for calculating the zakat base, registration, or submitting Returns for activities. These rules will be implemented through a decision by the Minister of Finance. Taxpayers engaged in these activities and their relevant supervisory authorities will be duly informed of the changes.

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